

TABLE 3-2 A Picture of Stock-Market Performance, 1871-1970^a

Period	Average Price	Average Earnings	Average P/E Ratio	Dividend Average	Average Yield	Average Payout	Annual Growth Rate ^b Earnings Dividends
1871-1880	3.58	0.32	11.3	0.21	6.0%	67%	— —
1881-1890	5.00	0.32	15.6	0.24	4.7	75	-0.64% -0.66%
1891-1900	4.65	0.30	15.5	0.19	4.0	64	-1.04 -2.23
1901-1910	8.32	0.63	13.1	0.35	4.2	58	+6.91 +5.33
1911-1920	8.62	0.86	10.0	0.50	5.8	58	+3.85 +3.94
1921-1930	13.89	1.05	13.3	0.71	5.1	68	+2.84 +2.29
1931-1940	11.55	0.68	17.0	0.78	5.1	85	-2.15 -0.23
1941-1950	13.90	1.46	9.5	0.87	6.3	60	+10.60 +3.25
1951-1960	39.20	3.00	13.1	1.63	4.2	54	+6.74 +5.90
1961-1970	82.50	4.83	17.1	2.68	3.2	55	+5.80 ^c +5.40 ^c
1954-1956	38.19	2.56	15.1	1.64	4.3	65	+2.40 ^d +7.80 ^d
1961-1963	66.10	3.66	18.1	2.14	3.2	58	+5.15 ^d +4.42 ^d
1968-1970	93.25	5.60	16.7	3.13	3.3	56	+6.30 ^d +5.60 ^d

^aThe following data based largely on figures appearing in N. Malodowsky's article, "Stock Values and Stock Prices," *Financial Analysts Journal*, May 1960. These, in turn, are taken from the Cowles Commission book *Common Stock Indices* for years before 1926 and from the *Splendid-on-Standard & Poor's 500-stock composite index* for 1926 to date.

^bThe annual growth-rate figures are Malodowsky compilations covering successive 21-year periods ending in 1890, 1900, etc.

^cGrowth rate for 1968-1970 vs. 1968-1960.

^dThese growth-rate figures are for 1954-1956 vs. 1947-1949, 1961-1963 vs. 1954-1956, and for 1968-1970 vs. 1958-1960.

The Stock-Market Level in Early 1972

With a century-long conspectus of stock, prices, earnings, and dividends before our eyes, let us try to draw some conclusions about the level of 900 for the DJIA and 100 for the S & P composite index in January 1972.

In each of our former editions we have discussed the level of the stock market at the time of writing, and endeavored to answer the question whether it was too high for conservative purchase. The reader may find it informing to review the conclusions we reached on these earlier occasions. This is not entirely an exercise in self-punishment. It will supply a sort of connecting tissue that links the various stages of the stock market in the past twenty years and also a taken-from-life picture of the difficulties facing anyone who tries to reach an informed and critical judgment of current